Rich-country borrowing squeezes the developing world

The IMF and World Bank annual meetings in Bangkok (12–18 October) ended with a warning but no new plan. Rising bond yields in advanced economies are pushing up borrowing costs for poorer countries, just as aid is falling and an energy shock from the Middle East war slows growth. IMF chief Kristalina Georgieva said debt repayments now take about 14% of developing-country government revenue, crowding out spending on schools and hospitals.

14%
Share of government revenue spent on debt service, more than double a decade ago (IMF)

3.6%
Developing-economy growth, down from 4.4% (World Bank)

3.1%
IMF forecast for world growth in 2026, rising to 3.4% in 2027

4.7%
IMF forecast for global inflation in 2026, easing to 4.1% in 2027

US$152b
Projected 2026 official aid, the lowest since 2014 (UNCTAD)

0.23%
Aid as a share of donors' gross national income, against the UN 0.7% target

What happened in Bangkok

The IMF's October World Economic Outlook, subtitled "Resilience Under Strain", forecasts world growth slowing to 3.1% in 2026 while inflation rises to 4.7%. Energy-importing economies outside the technology supply chain face the hardest outlook. The IMF lists the main risks as conflict escalation, a reassessment of the AI boom, renewed trade tensions and weak public finances. It said countries urgently need to rebuild fiscal space.

World Bank deputy chief economist Ayhan Kose said the world had absorbed its largest energy shock, linked to the US–Israeli war with Iran, better than feared and avoided a global recession. However, growth has slowed in half of all advanced economies, and in developing countries it has fallen to about 3.6% from 4.4%. He described policymakers as bracing for a new shock every three to six months.

Geopolitics overshadowed the meetings. Nearly half the delegates at an IMF steering committee walked out when Russia's finance minister spoke. The committee's chair, Saudi Finance Minister Mohammed Al-Jadaan, was delayed after Houthi attacks on Riyadh airport.

How rich-country deficits reach poor countries

FLOW CHART **The transmission of higher global interest rates**

Large budget deficits in advanced economies → Bond yields rise to multi-decade highs → Developing countries pay more to borrow and refinance → Debt service rises to 14% of revenue → **Less spending on health, education and infrastructure**

Exam angle: this is a clear example of how **financial globalisation** transmits shocks. Georgieva said advanced economies are the biggest contributors to global budget imbalances. Developing countries had in fact reduced their debt levels, yet still face higher repayments because global interest rates are set largely in the US and Europe.

Higher interest bills create a vicious circle. Money spent on interest cannot fund the health, education and infrastructure that raise long-run productivity. Slower growth then makes the debt harder to service. Low-income and fragile states that import energy are hit hardest, because higher oil prices also widen their current account deficits.

Aid is falling at the same time

BAR CHART **Change in official development assistance from major donors**



UNCTAD projects a **third straight year of cuts**, taking aid to about US$152 billion, the lowest since 2014. Sixteen of the 33 members of the OECD's Development Assistance Committee, including the five largest donors, have announced cuts for 2026. Aid now equals just 0.23% of donors' combined national income, less than a third of the 0.7% target.

Private capital is meant to fill the gap. The World Bank says the private finance it mobilises is now triple its 2022 level, and President Ajay Banga highlighted reforms to the Bank's own lending. Project preparation time has been cut from 19 months to nine, and over US$100 billion of extra lending capacity has been created over a decade. However, Kose acknowledged that attracting foreign direct investment to developing countries remains difficult.

The policy debate

View	Argument
IMF and World Bank	Developing countries should reduce fiscal deficits and speed up structural reforms to attract private investment. They point to a new debt sustainability framework for low-income countries and support programs such as a US$2.2 billion staff-level agreement with Senegal.
G-24 developing nations	Debt vulnerability is a major barrier to inclusive growth. They want sovereign debt restructuring to be predictable, timely and coordinated, with greater transparency and fairer credit ratings.
Kate Pickett (University of York)	Forcing tough reforms on poor countries risks deepening poverty and inequality, which raises long-run costs. A "resilient" economy means little if only the wealthy benefit.
Josh Lipsky (Atlantic Council) and **Mauricio Cárdenas** (former Colombian finance minister)	The meetings missed a chance to give practical help. Advanced economies are distracted by their own fiscal risks, and the lenders offered no roadmap for shocks such as a possible AI bubble.

This debate mirrors a long-running criticism in the syllabus: the conditions attached to IMF and World Bank support can reduce government spending on the services that help close the development gap.

Data note: Georgieva's 14% figure refers to low-income countries' debt service as a share of government revenue. Reports differ on the earlier comparison point: an IMF briefing transcript cites about 6% a decade ago, while other reports cite about 8% in recent years. "More than doubled over a decade" is the safest wording to use.

Why it matters for Australia

Australia is affected through several channels. Higher global bond yields also raise the Commonwealth's borrowing costs, and the Treasurer has warned that this will pressure the budget. Slower growth among developing economies in Asia and the Pacific reduces demand for Australian exports and adds to economic and strategic risk in the region. Falling global aid also puts more pressure on Australia's own development assistance program in the Pacific.

SYLLABUS LINK

Topic 1 – The Global Economy: the role of international organisations (IMF, World Bank, G20) in the global economy; global financial flows and the transmission of shocks; differences in economic development and the development gap; the impact of international debt on developing economies.

Links: Topic 3 (inflation from energy shocks); Topic 4 (limitations of fiscal policy when interest costs rise).

TRY THIS

1. Explain how rising interest rates in advanced economies can affect economic development in low-income countries. **(4 marks)**
2. Outline TWO roles of the IMF or World Bank in the global economy. **(4 marks)**
3. "Cutting deficits and attracting private investment is the best path to development." Discuss, with reference to recent evidence. **(8 marks)**

Sources: Reuters (A. Shalal & D. Lawder), "Analysis-IMF/World Bank meetings leave developing countries with more questions than answers", 18 Oct 2026, via Investing.com — https://www.investing.com/news/economy-news/analysisimfworld-bank-meetings-leave-developing-countries-with-more-questions-than-answers-4955879 · Manila Times (republished Reuters analysis), 21 Oct 2026 — https://manilatimes.net/2026/10/21/opinion/columns/imf-world-bank-meetings-leave-developing-countries-with-more-questions-than-answers/2449927 · IMF, World Economic Outlook, October 2026: "Resilience Under Strain, Urgent Choices" — https://www.imf.org/en/publications/weo/issues/2026/10/13/world-economic-outlook-october-2026 · IISD SDG Knowledge Hub, "WBG/IMF Annual Meetings Respond to Tighter Fiscal Space, Rising Debt" — https://sdg.iisd.org/news/wbgimf-annual-meetings-respond-to-tighter-fiscal-space-rising-debt/ · Rio Times, "IMF warns poor nations spend 14% on debt", 18 Oct 2026 — https://www.riotimesonline.com/imf-warns-poor-nations-debt-14-percent-revenue-2026/ · Down To Earth, "Official development assistance to fall for third year in 2026, hitting $152 billion: UNCTAD", Oct 2026 — https://www.downtoearth.org.in/economy/official-development-assistance-to-fall-for-third-year-in-2026-hitting-152-billion-unctad · Bloomberg, "Bond Selloff to Pressure Australia's Budget, Chalmers Says", 5 Oct 2026 (headline only) — https://www.bloomberg.com/news/articles/2026-10-05/higher-bond-yields-will-pressure-australia-budget-chalmers-says

Summary prepared 23 October 2026.